ERA 12

The Gilded Age: Industry

1865 – 1900

Industrialization · big business · monopoly

ESSENTIAL QUESTION

How did new technology and business methods create an industrial giant—and a new class of tycoons?

KEY TERMS

Bessemer steel · Standard Oil · vertical & horizontal integration · trusts · robber barons

ALIGNED TO

CED Topics 6.5–6.6 · AMSCO Ch. 6.5–6.6

AMERICA BECOMES AN INDUSTRIAL GIANT

The Second Industrial Revolution

The Building Blocks of Industry

I

Steel

The **Bessemer process** made cheap, strong steel for rails and skyscrapers.

II

Oil

Refined petroleum yielded **kerosene**—and later, fuel.

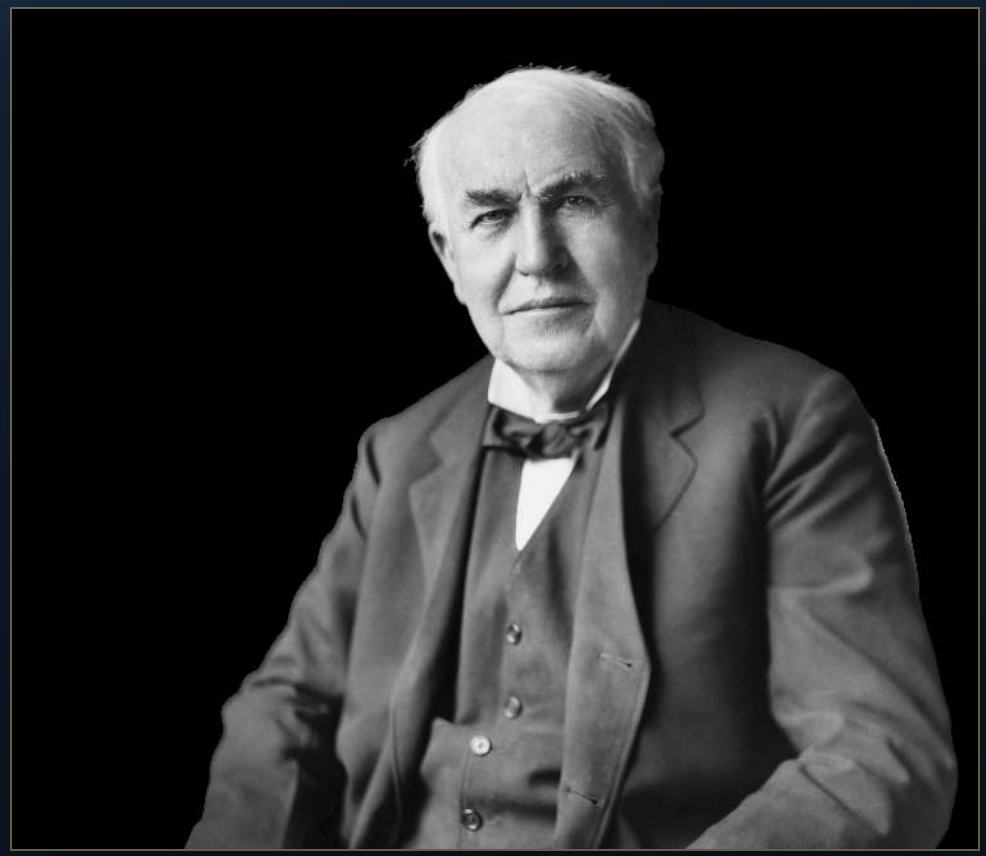
III

Electricity

Electric power transformed factories, cities, and homes.

Electricity & Invention

- **Thomas Edison** and **Lewis Latimer** perfected the electric lightbulb.
- Patents exploded—from a few hundred a year to tens of thousands.
- Electric light and power reshaped daily life.



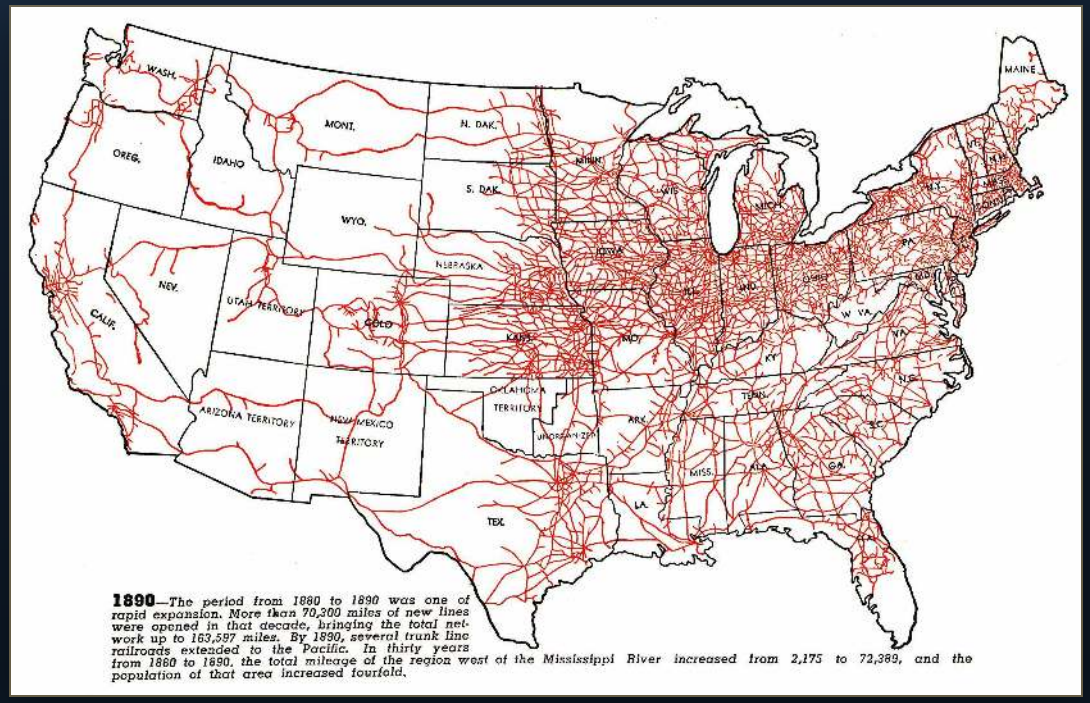
Wiring the Nation



- **Alexander Graham Bell** patented the **telephone** in 1876.
- Telegraph and **telephone** wires soon crisscrossed the country.
- Information—and business—moved faster than ever.

The Railroad Age

- Rail mileage grew from 35,000 (1865) to 167,000 (1890).
- **Standard gauge** track knit the regions into one national market.
- Railroads devoured **steel** and coal and employed thousands.

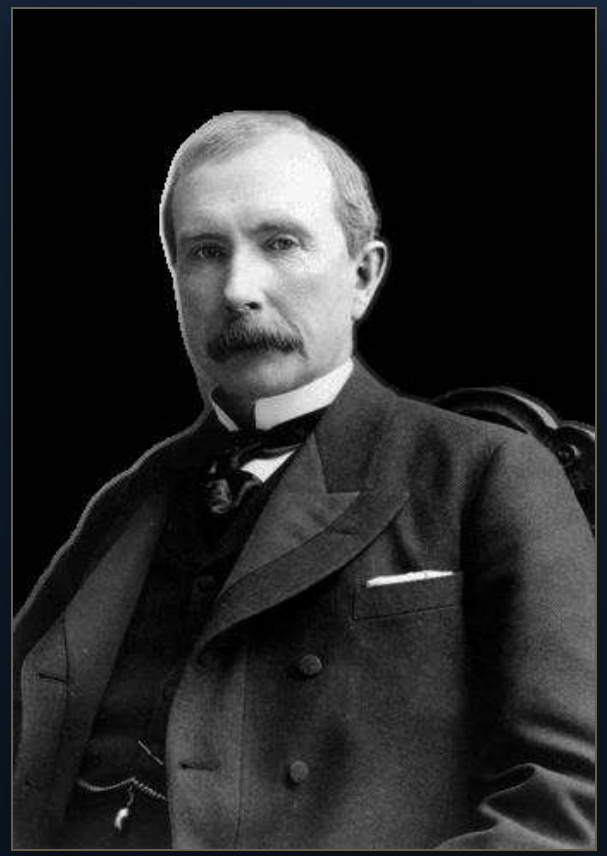


1890—The period from 1880 to 1890 was one of rapid expansion. More than 70,300 miles of new lines were opened in that decade, bringing the total network up to 163,597 miles. By 1890, several trunk line railroads extended to the Pacific. In thirty years from 1860 to 1890, the total mileage of the region west of the Mississippi River increased from 2,175 to 72,389, and the population of that area increased fourfold.

SECTION

The Captains of Industry

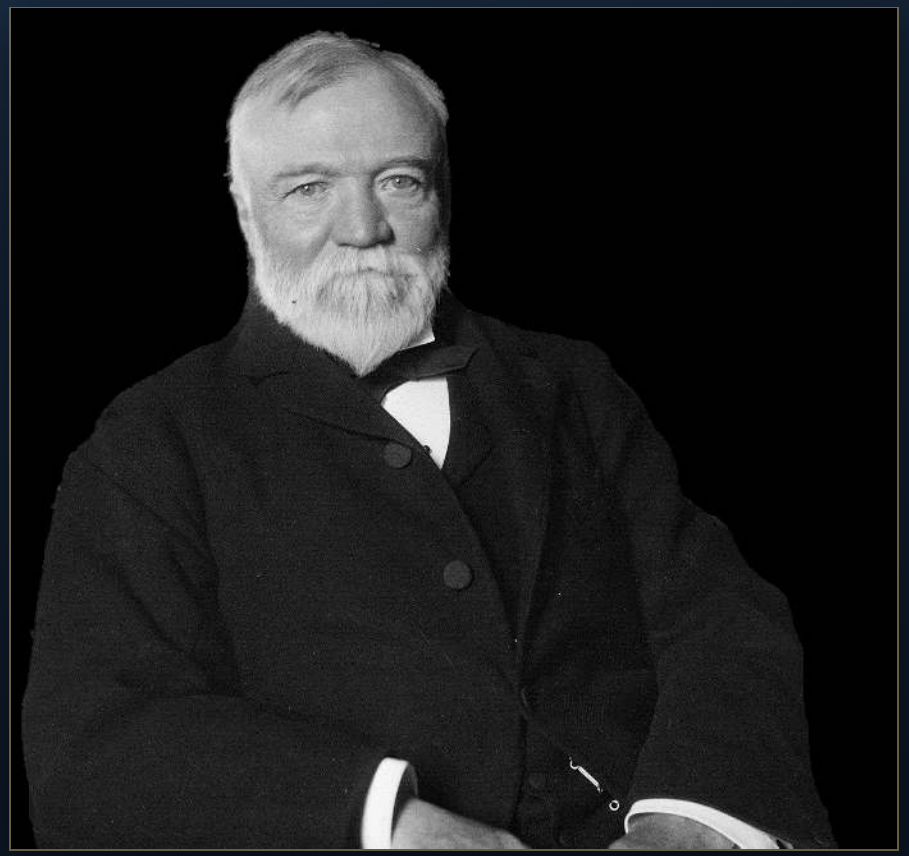
Rockefeller & Oil



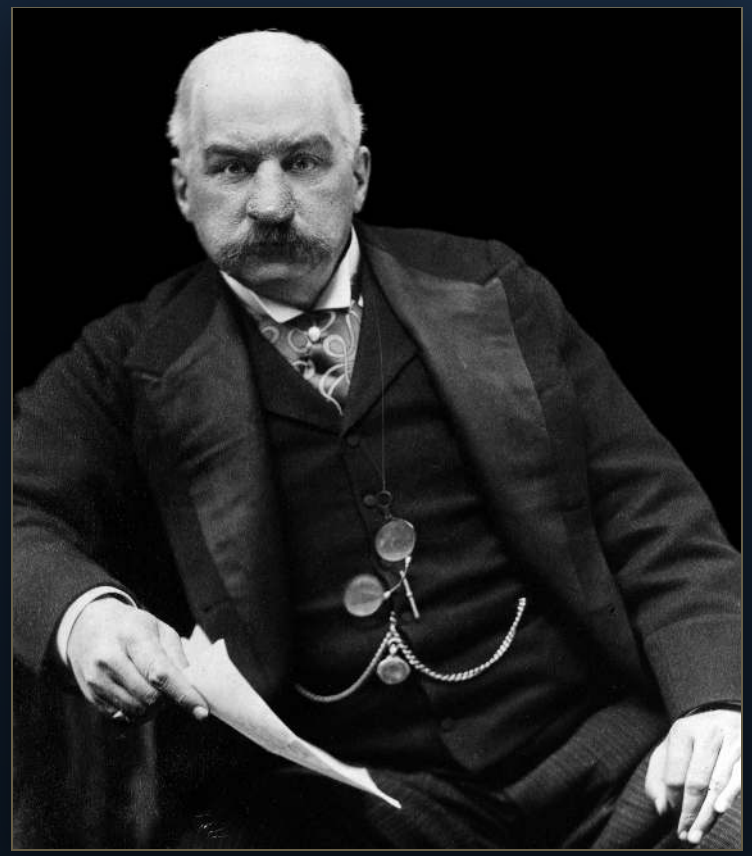
- **John D. Rockefeller** built **Standard Oil** into an empire.
- By 1879 he controlled roughly 90% of American oil refining.
- He crushed rivals through ruthless **horizontal integration**.

Carnegie & Steel

- **Andrew Carnegie** rose from a $1.20-a-week bobbin boy to **steel** king.
- He used **vertical integration**—owning every step of production.
- His empire became the core of U.S. **Steel**.



Morgan & Finance



- **J.P. Morgan** was the era's most powerful investment banker.
- He consolidated railroads and industries—and bought out Carnegie.
- In 1901 he created U.S. **Steel**, the first billion-dollar corporation.

SECTION

Building Empires

How Monopolies Formed

I

Vertical Integration

Control every step—from raw materials to the finished product (Carnegie).

II

Horizontal Integration

Buy up all your competitors in the same industry (Rockefeller).

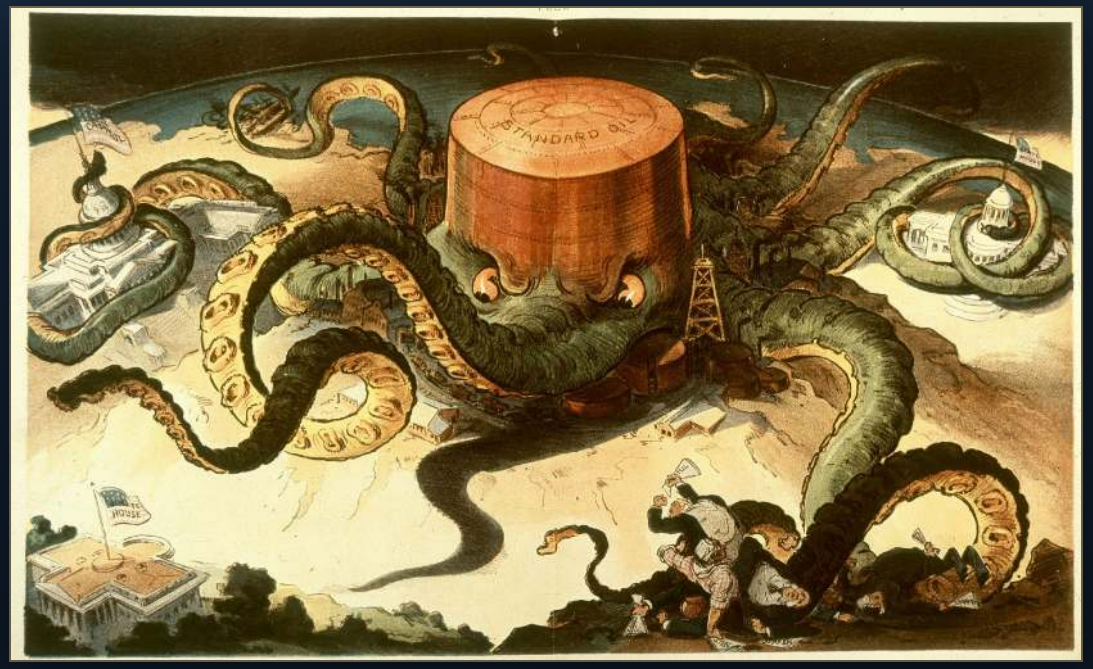
III

Trusts

Combine many firms under one board to dominate a market.

The 'Octopus' of Monopoly

- Cartoonists drew **Standard Oil** as an octopus strangling the nation.
- **Trusts** crushed competition and set prices at will.
- Their power sparked demands for government regulation.



Captains of Industry or Robber Barons?

Captains of Industry

The defense

- Built the world's most powerful economy.
- Created jobs and cheaper goods.
- Gave fortunes to **philanthropy** (libraries, universities).

Robber Barons

The critique

- Crushed competition and gouged consumers.
- Exploited workers with low pay and long hours.
- Concentrated dangerous wealth and power.

KEY TAKEAWAYS

The Gilded Age: Industry

1. New technology—**Bessemer steel**, oil, and electricity—made the U.S. the world's leading industrial power.
2. **Rockefeller, Carnegie, and Morgan** built vast empires through **vertical and horizontal integration** and trusts.
3. Their **monopolies** concentrated wealth and power—earning them praise as '**captains of industry**' and scorn as '**robber barons**.'

DISCUSS & APPLY

The Gilded Age: Industry

AP HISTORICAL REASONING PRACTICE

CAUSATION

Explain how new technologies (**steel, oil, electricity**) drove America's industrial explosion.

COMPARISON

Compare **vertical** and **horizontal integration** as strategies for building monopolies.

ARGUMENTATION

Were the industrial titans **'captains of industry' or 'robber barons'**? Make and defend a claim.

Up next — **Class 34: Labor & Immigration** (the workers who built the Gilded Age)